

Moving Averages — Practice Worksheet

Compute a moving average by hand and spot a cross on a real chart.

Part 1 — Compute a 3-Day Moving Average

For each set of 5 daily prices (in time order), compute the 3-day simple moving average for days 3, 4, and 5 (average of that day and the 2 before it).

1. \$18.40 → \$19.90 → \$17.10 → \$20.50 → \$18.80

3-day MA for days 3, 4, 5

2. \$142.00 → \$137.50 → \$145.80 → \$139.20 → \$148.10

3-day MA for days 3, 4, 5

3. \$56.20 → \$59.00 → \$55.40 → \$58.10 → \$61.30

3-day MA for days 3, 4, 5

Part 2 — Research a Real Chart

Pick a stock or index you're familiar with. Pull up a chart with 50-day and 200-day moving averages shown, and answer:

1. Ticker / index and the date you looked at:

Your answer

2. Is the 50-day average currently above or below the 200-day average?

Your answer

3. Has there been a golden cross or death cross on this chart in the last year? If so, roughly when?

Your answer

4. Does price appear to be bouncing off either moving average as dynamic support or resistance?

Your answer

Part 3 — Reflection

Why does a golden cross or death cross always happen after the actual price trend has already started to turn?

Your answer